

BUILD YOUR SKILLS: TAXES

Please answer the following questions. Answers can be found in the back of the book.

1. Briefly explain the following tax forms: W-4, W-2, and 1040.
2. If your salary is \$60,000, do you need to pay taxes on the entire \$60,000? Explain.
3. Explain why you should never reject a salary increase just because it puts you into a higher tax bracket.
4. Using the 2020 tax brackets and rates, determine how much money a single person claiming the standard deduction should pay in federal income tax if their taxable income is \$75,000 a year.